

Unit 3 – Section 4: Influences on Business Decisions

One-Page Student Summary Sheet

Key Concepts and Definitions

Concept	Definition	Real-World Example
Corporate Culture	The shared values, beliefs, and norms within an organisation that influence behaviour and decision-making.	Google promotes innovation through an open and creative culture.
Power Culture	Centralised decision-making where control is held by a few key individuals.	Tesla, led by Elon Musk's dominant leadership style.
Task Culture	Teams formed to solve specific problems, encouraging collaboration and flexibility.	Apple's product teams working on new designs.
Stakeholders	Individuals or groups affected by or interested in business activities.	Employees, customers, suppliers, and investors.
Shareholders	Owners of a company who invest capital and expect financial returns.	Apple shareholders expecting dividends and share growth.
Business Ethics	Moral principles guiding business behaviour beyond legal requirements.	Unilever ensuring fair trade sourcing for products.
Corporate Social Responsibility (CSR)	A business's commitment to contribute positively to society and the environment.	Patagonia donating profits to environmental causes.
Culture Clash	Conflict arising when merging businesses have different values and	The failed Daimler–Chrysler merger.

management styles.

Stakeholder Conflict

Disagreement between groups with different interests or objectives.

Amazon facing pressure from employees and investors over working conditions.

Command Words & AO Focus

Mark	Command Words	AO Skills	Tips for Students
4 marks	Define / Explain	AO1 + AO2	Use a precise definition and one contextual example.
8 marks	Assess	AO2 + AO3	Provide two balanced arguments with a developed link to context.
12 marks	Discuss	AO3 + AO4	Include both sides, stakeholder viewpoints, and a mini-judgement.
20 marks	Evaluate	AO1–4 (all)	Use context, multiple perspectives, and a strong concluding judgement.

High-Frequency Question Themes

- Corporate culture and its impact on performance.
- Stakeholder vs shareholder objectives.
- Ethical and social responsibility dilemmas.
- CSR as a source of competitive advantage.
- Culture clashes in mergers and takeovers.

Revision Checklist

- ✓ Can I explain and apply Handy's four culture types to real businesses?
- ✓ Can I discuss conflicts between shareholder and stakeholder objectives?
- ✓ Can I evaluate ethical and CSR decisions using short- and long-term perspectives?

✓ Can I link culture and ethics to overall business performance?